



SCALPING WITH MOVING AVERAGE



Since this is a scalping strategy, I am going to execute this in the very first hour. Remember, we are looking to profit from the initial momentum. The markets can get choppy after the initial momentum has died off.

YOU CAN EXECUTE THIS STRATEGY IN 6 SIMPLE STEPS:

- STEP 1:** Apply a 5 or 7 period EMA (Both will work) on a 5-minute timeframe.
- STEP 2:** In case of a bearish trade, I am looking for the 2nd candle to close above the moving average. (I am not going to sell on the very first candle as the first candle of the day is very volatile.)
- STEP 3:** I will sell the stock at the low of the 2nd candle, which has also closed above the EMA. Remember, the second candle should not touch the EMA in any way. I will keep the stoploss on the high of this candle.
- STEP 4:** I will adjust the entries from time to time. Meaning, if I am getting a better entry point on the 3rd candle, I will shift my entry point there. Do not worry, you will have a better idea of entry once we look at the examples.
- STEP 5:** I will keep my R:R ratio to be at least at 1:3 or 1:4.

Again, I will not execute any trades after the first hour. If this setup doesn't generate signals in the very first hour then I will not be taking trades based on this strategy. This is a very key thing to remember because traders often get ahead of themselves and gamble without sticking to their trading plan.

